(ii) **Accuracy of financial information:** The accuracy of a ratio depends on the accuracy of information taken from financial statements. If the statements are inaccurate, ratios computed based on that will also be inaccurate.

(iii) **Consistency in preparation of financial statements:** Inter firm comparisons with the help of ratio analysis will be meaningful only if the firms follow uniform accounting procedures consistently.

(iv) **Non-availability of standards or norms:** Ratios will be meaningful only if they are compared with accepted standards or norms. Only few financial ratios have universally recognised standards. For other ratios, comparison with standards is not possible.

(v) **Change in price level:** Ratio analysis may not reflect price level changes and current values as they are calculated based on historical data given in financial statements.

Points to remember

- An accounting ratio is a mathematical expression of the relationship between two items or group of items shown in the financial statements.
- Under the functional classification, the ratios are classified as liquidity ratios, solvency ratios, profitability ratios and turnover ratios.
- Liquidity ratios help to assess the ability of a business concern to meet its short term financial obligations.
- Long term solvency ratios help to determine the ability of the business to repay its debts in the long run.
- Profitability ratios are calculated to analyse the earning capacity of the business and is generally expressed as a percentage.
- Turnover ratios show how efficiently assets or other items have been used to generate revenue from operations.

Self-examination questions

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I Multiple choice questions

Choose the correct answer

1. The mathematical expression that provides a measure of the relationship between two figures is called

(a) Conclusion (b) Ratio (c) Model (d) Decision

2. Current ratio indicates

(a) Ability to meet short term obligations (b) Efficiency of management

(c) Profitability (d) Long term solvency

3. Current assets excluding inventory and prepaid expenses is called

(a) Reserves (b) Tangible assets (c) Funds (d) Quick assets

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